INTEGRITY AND ANTI-CORRUPTION (MPU1322)

LECTURER: Ms. Norzareen Mashral

REPORT TITLE: Rolls Royce Bribery - CASE STUDY

“G4”

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TASK DELEGATION:

AARON LAU LIP VOON: He has been appointed as the group leader, responsible for designing the group logo, gathering references, compiling the reference list, and assisting with writing the summary.
MOH HUDZAIFAH BIN ZAINAL ABIDIN: He is responsible for providing the necessary details for the group assignment and assisting with proper writing, grammar, and clarity.
AIEDEL FARRHAN BIN SAIDI: He is in charge of delegating tasks within the group and also contributes to ensuring the writing is clear and grammatically correct.
LOW KAI WEI: He is tasked with writing the summary for the group assignment and providing the necessary information into the report.

All group members are responsible for researching ***the background of the case and contributing to the discussion section*** of the case study.

ASSIGNMENT OBJECTIVES:

The objective of this assignment is to explore the 2017 Rolls-Royce bribery scandal, where the company was accused of paying bribes over several years to secure contracts in different countries, mainly in the airplane industry.

Rolls-Royce used agents to pay government officials and business leaders in exchange for these contracts. The scandal was discovered after an investigation by UK authorities, supported by whistleblowers and the company's cooperation.

In 2017, Rolls-Royce settled the case by paying £497 million, though no executives were charged. The bribery took place in countries like the UK, Indonesia, India, Nigeria, Thailand, China, and Brazil, with third-party agents involved in covering up the bribes.

This case highlights the importance of strong ethical practices, transparency, and anti-corruption measures for global companies.

GROUP 4's TIMELINE:

Oct 17th 2024 - Group 4 "G4" is created with the task to research the Rolls Royce bribery case.

Oct 25th 2024 - All of the points of the Rolls Royce Bribery scandal are provided by Honeycomb and The Guardian.

Nov 7th 2024 - We started writing the report on Rolls Royce Bribery Case

Nov 10th 2024 - We started creating the presentation slides on Rolls Royce Bribery Case (PPT)

Nov 21th 2024 - Day of Presentation about the Rolls Royce Bribery Case

Introduction

This report dives deep into the Rolls-Royce bribery scandal that happened in 2017. It is a major case of corporate corruption and misconduct that involved one of the world's largest aircraft engine and luxury car manufacturers.

In the year 2017, Rolls-Royce reached a settlement with the UK's authorities after they got accused of using agents (or middle-men) to pay bribes in order to secure contracts in several countries over a number of years. The scandal raised some important questions around ethics, integrity, corruption, anti-corruption efforts and corporate governance.

This report looks at the details of the bribery allegations, the legal and regulatory penalties Rolls-Royce faced, and the broader impact on corporate responsibility and transparency. We will also discuss the lessons learned from the scandal and offer recommendations to prevent similar issues from arising in the future.

What is Rolls-Royce?

Rolls-Royce, a British company founded in 1906, is renowned for designing and manufacturing high-performance engines, primarily for aeroplanes, ships, and energy systems. While it initially gained fame for its luxury cars, the brand is now best known for its cutting-edge aircraft engines. Today, Rolls-Royce is a global leader in supplying engines for commercial, military, and private aviation.

With one of the largest aerospace divisions in the world, Rolls-Royce engines are used by airlines, governments, and defence organisations across the globe. In addition to its aerospace expertise, the company also produces marine engines and power systems for energy projects worldwide.

Although Rolls-Royce sold its car division in 1998 (now owned by BMW), the brand continues to symbolise quality and engineering excellence. However, the company has faced its share of controversies, most notably the bribery scandal in 2017, which continues to shape its reputation today.

The Rolls Royce Bribery Scandal

In 2017, Rolls-Royce reached a settlement with authorities in the UK, the US, and Brazil, addressing allegations of widespread corruption. The company admitted to corruption, including bribery and false accounting, which were used to secure contracts, especially for its aerospace and energy divisions. And as part of the settlement, Rolls-Royce agreed to pay £671 million in penalties. This settlement was among the largest in corporate history for corruption charges.

The UK SFO found that Rolls-Royce engaged in 12 distinct cases of corruption. These instances involved using intermediaries to pay bribes and provide extravagant benefits to officials and airline employees in multiple countries, including India, Thailand, and China.

Timeline of the Rolls-Royce bribery scandal

Early 2000s: The Allegation Emerge

Reports from multiple sources begin to surface about Rolls-Royce engaging in corruption, especially in relation to securing contracts in multiple countries. The allegations involve the use of intermediaries and bribes to win deals in industries like aerospace and defence.

2012: Investigations Begin

The UK’s Serious Fraud Office (SFO) started investigating Rolls-Royce after being tipped off about possible bribery in places like Indonesia, China, and India.

2013-2015: Further Revelation

The scandal gains more attention through media investigations, showing everyone the deeper involvement in unethical practices.

Authorities in the US and Brazil also begin their investigations into Rolls-Royce's practices, further widening the scope of the scandal.

2016: Admission of Misconduct

Rolls-Royce begins to cooperate with authorities and acknowledge its involvement in improper practices across multiple countries.

Deferred Prosecution Agreement (DPA) Negotiations: Rolls-Royce enters discussion to settle the case with authorities in the UK, US, and Brazil.

2017: Settlement Reached

Rolls-Royce agrees to a settlement of approximately £671 million ($808 million) to resolve investigations by the UK SFO, US Department of Justice, and Brazilian authorities.

£497 million to the UK SFO. $169 million to the US Department of Justice. $25.5 million to Brazilian authorities.

After 2017: Aftermath

Rolls-Royce makes big changes to how they operate in order to prevent future scandals.

The company's reputation takes a hit, but its reforms are seen as a positive step forward.

Parties Involved: Rolls-Royce

Rolls-Royce is directly involved in carrying out the bribery schemes through its business operations, with major involvement from two key divisions:

The **Aerospace Division** facilitated bribery to secure contracts for the sale of jet engines and related services, targeting commercial airlines and government clients to gain a competitive edge.

While the **Energy Division** engaged in unethical practices to obtain contracts in the oil and gas industries, including projects related to power plants and other energy infrastructure.

Parties Involved: Other Parties

Government officials in various countries were the key players in the bribery schemes, basically receiving payments from Rolls-Royce in exchange for awarding valuable contracts.

Rolls-Royce often used intermediaries or agents to handle the bribery. These intermediaries were usually individuals or organisations with strong connections to influential officials or state-owned companies. They helped by transferring the bribes and making them look like legitimate business expenses. This strategy allowed Rolls-Royce to mask its illegal activities in order to avoid detection.

There are several regulatory and investigative agencies were involved in uncovering the scandal and holding Rolls-Royce accountable:

The **UK Serious Fraud Office (SFO)** led the primary investigation into Rolls-Royce's corrupt practices. They played a significant role in negotiating the settlement and securing the largest portion of the fines.

The **US Department of Justice (DOJ)** investigated the company under the **Foreign Corrupt Practices Act (FCPA)**, which governs bribery involving US businesses or transactions. They worked closely with international counterparts to uncover wrongdoing tied to US-based operations and payments.

The **Brazilian Authorities** studied and examined Rolls-Royce's involvement in the "Operation Car Wash" scandal, a massive corruption probe centred on Brazil's state-run oil company, Petrobras.

Key Countries Involved

The SFO and Rolls Royce have entered into the Deferred Prosecution Agreement(DPA) related to Rolls-Royce's actions in Nigeria, Indonesia, Russia, Thailand, India, China, and Malaysia. A DPA is available to a corporate entity for certain economic or financial offences and provides for a mechanism, through which prosecution can be avoided by entering into an agreement on negotiated terms with a prosecutor.

In the case of India, the crown court at Southwark, UK delivered a judgement on the DPA reached between the SFO and Rolls Royce.The judgement revealed the concealment of involvement of intermediaries in India between 2005 to 2009 by Rolls- Royce despite restrictions imposed by the Government of India through an Integrity Pact. There are reasons' to believe that significant amounts paid to the intermediaries/middlemen by Rolls-Royce were routed to public servants in India. The crown Court Judgment specifically mentions payment of an estimated £1 million by Rolls-Royce to Intermediary 4 for increase of License Fee of Rolls-Royce from £4 million to £7.5 million.

Corrupt Practices: Methods & Evidence

One method used by Rolls-Royce to carry out its corrupt practices is the use of intermediaries — third-party agents who acted as go-betweens, facilitating bribes to government officials and other influential figures. These intermediaries helped Rolls-Royce secure contracts by offering payments or other illicit incentives.

Another method was making payments directly to officials to influence the awarding of government contracts. These payments were often disguised as legitimate business expenses, such as commissions or consulting fees, to conceal Rolls-Royce's true purpose.

Several types of evidence were important in exposing Rolls-Royce’s corruption. Emails between company staff and intermediaries reveal the discussions of bribery arrangements, providing a direct look into the methods used to influence decisions.

Financial records showed suspicious payments, which were often routed through intermediaries and disguised as business transactions. These records played a major role in showing the scale of the corruption.

Additionally, whistleblower reports from former employees provided crucial information that helped investigators piece together the full extent of Rolls-Royce’s unethical activities.

Together, these forms of evidence were important in bringing the company’s actions to light and securing the settlement with authorities.

Legal Actions and Penalties

Rolls-Royce reached a settlement with authorities in the UK, US, and Brazil over corruption charges. The total amount paid was £671 million, and is split as follows:

£497 million is paid to the UK's Serious Fraud Office (SFO), $170 million is paid to the US Department of Justice (DOJ), $25 million is paid to Brazilian authorities.

As part of the agreement, Rolls-Royce entered into Deferred Prosecution Agreements (DPAs) with the UK, US, and Brazil. Which allowed the company to avoid criminal charges, as long as they followed specific conditions. These conditions included improving its compliance and governance systems to prevent future corruption and ensure better oversight of its business practices. The DPAs gave Rolls-Royce a chance to fix its internal issues.

Impact on Rolls-Royce

This settlement and the scandal had a significant impact on Rolls-Royce's financials, with the company paying £671 million in penalties. These payments strained the company's finances and was a major blow to its bottom line. And in addition to the financial issues, the company also suffered a loss of stakeholder trust. Rolls-Royce investors, partners, and customers lost their confidence in Rolls-Royce due to its involvement in corruption.

This scandal has left a negative impact on global markets and public trust, leading to a decline in the company's market value and a loss of business and some regions in the world. The public's perception of the company suffered, with a lot of people questioning the company's ethical standards and practices. Because of that, the company also went into a leadership change, with the new management taking charge in order to rebuild trust and implement new and necessary reforms.

Other than that, Rolls-Royce was forced to implement stricter compliance measures to prevent future corruption. Which includes stronger controls internally, more diligent oversight, and they also updated their policies to ensure ethical behaviour across the whole company.

Conclusion

The Rolls-Royce corruption case concluded with the company entering into a Deferred Prosecution Agreement (DPA) with the UK's Serious Fraud Office (SFO) in 2017. Rolls Royce paid a £497 million fine, which is the largest British fine ever imposed on a company for criminal conduct. Rolls Royce admitted to corrupt actions to 12 countries, including India, Between 1989 and 2013. The SFO alleged Rolls Royce, Paid bribes to jet engine sales and services in India, Concealed intermediaries, Paid public servants, Manipulated record to avoid scrutiny.

References

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